

CANADA 2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series Benefits and Wages. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The system of benefits and incentives in Canada comprises a number of programs, including benefit programs and tax assistance. Some are the responsibility of the federal (national) government, while others are administered by provincial and territorial governments. These programs include unemployment benefits, social assistance (or welfare), and a number of federal and provincial benefits and credits delivered through the personal income tax system (related to children, shelter, supplements for working income, etc.). Due to the breadth and variety of programs at the provincial and territorial level, the Province of Ontario has been chosen where examples of provincial/territorial programs are required (Ontario has also been used as an example in previous editions of this report).

With respect to benefits, Employment Insurance (as it is called in Canada) provides temporary income support to Canadians workers while they are temporarily unemployed and looking for work or upgrading their skills, while they are pregnant or caring for a newborn or adopted child, while they are sick, or for workers who need to take a short-term absence from work in order to provide care or support to a gravely ill family member facing a significant risk of death within six months, or for parents unable to work while providing care or support to a child whose life is at risk as a result of an illness or injury. Benefits are earnings-related and are subject to a maximum amount (see section 2). Social assistance provides financial assistance to cover the cost of basic living requirements, and in-kind goods and services, for an individual or family when all other financial resources have been exhausted (see section 4 for more information). The Canada Child Benefit is a federal income-tested benefit for families with children (see section 6). Provinces and territories also provide a range of benefits and services for families with children. Both the federal government and the provinces and territories are involved in the provision of child care assistance through direct benefits, the personal income tax system and subsidies.

With respect to taxation, the federal personal income tax system in Canada is progressive, meaning that tax rates rise as taxable income rises. It also includes many deductions, exemptions, and tax credits (both refundable, i.e., non-wastable, and non-refundable i.e., wastable) which serve to reduce taxes payable. Provinces and territories also set their own tax on personal income. See section 10 for further details.

1.1. Average Worker wage (AW)

The 2016 AW earnings level is CAD 50 997¹

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3.

2. Unemployment insurance

2.1 Conditions for receipt

All persons in paid employment and fishers who contribute to the Employment Insurance (EI) program by paying premiums are potentially eligible to receive EI regular and special benefits.

Self-employed Canadians (other than fishers) are able to opt in to the EI program on a voluntary basis to be eligible for EI special benefits (maternity, parental, sickness, compassionate care and parents of critically ill children benefits) only.

Program name in local language		Employment Insurance
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E+C: 630 hours in 1 year
Waiting period (days)		14
Maximum duration (months)		9
Upgrading mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	55%
	benefit at the end of legal entitlement period in % of calculation base	55%
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	Up to 40% of benefits or CAD 75 per week, whichever higher
Benefit provision (eligibility (E), generosity (G)) varies with	age	n.a.
	family situation	G: + for low-income families with children
	contract type	n.a.
	other	n.a.

2.1.1 Employment conditions

As shown in the table below, entrance requirements for EI regular benefits vary with the local monthly EI unemployment rate. A minimum of 420 hours of work in their qualifying period (generally a 52-week period prior to the loss of employment) is required in areas of relatively high unemployment (over 13%) and 700 hours in areas of relatively low unemployment (6% or lower).

EI Entrance Requirements

Regional rate of unemployment (%)	Required number of insured hours of employment in the qualification period
6 and under	700
Over 6 to 7	665
Over 7 to 8	630
Over 8 to 9	595
Over 9 to 10	560
Over 10 to 11	525
Over 11 to 12	490
Over 12 to 13	455
Over 13	420

An exception are those that are considered new entrants or re-entrants to the labour market who are required to work a minimum of 910 hours in their qualifying period, regardless of regional EI unemployment rates, in order to access EI benefits. A claimant is considered a new entrant or re-entrant if they had fewer than 490 hours of labour force attachment in the 52 week period prior to the qualifying period (pre-qualifying period). Labour force attachment takes account of various forms of attachment to the labour force, such as insured hours of work, time spent on EI, worker's compensation benefits, disability benefits and sick leave benefits in addition to actual hours of work in the labour force, with each week of labour force attachment counting for 35 hours. Claimants with at least one week of maternity or parental benefits in the four-year window preceding the pre-qualifying period are not considered new entrants or re-entrants to the labour market.

For paid employees in insurable employment, a flat entrance requirement of 600 hours of insurable employment in the 52-week period immediately preceding the claim or the period since the start of the previous claim applies for all EI special benefits. This requirement does not vary according to regional unemployment rates. Qualification for EI fishing benefits is based on earnings, as opposed to weeks or hours of work.

To be eligible to receive special benefits, self-employed Canadians must be registered with the Canada Employment Insurance Commission and have contributed to the EI program for a period of at least 12 months. In order to qualify for special benefits, they must demonstrate that they have reduced the amount of time devoted to their business by more than 40% and have earned a minimum amount of self-employment earnings in the preceding calendar year (\$6,515 in 2013).

2.1.2 Contribution conditions

EI is financed by employer and employee premiums. Contributions to the program begin with the first CAD \$1 earned up to a maximum insurable earnings level for 2014 of CAD 48 600. The employee premium rate for 2014 is CAD 1.88 per CAD 100 of insurable earnings. Employers pay 1.4 times the employee rate (2.63 per CAD 100). The self-employed only pay the employee premium. Employees earning less than CAD 2,000 a year can receive a premium rebate. In the province of Quebec, EI premiums are lower since the province has established its own insurance plan that replaces EI maternity and parental benefits. For 2014, the employee premium rate is CAD 1.53 per CAD 100 of insurable earnings while the employers pay \$2.14 per CAD 100.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The replacement rate is 55% of average weekly insurable earnings. Since April 7, 2013, average weekly earnings are calculated from the best weeks of earnings in the qualifying period (usually 52 weeks). The number of best weeks ranges between 14 and 22 depending on the monthly regional EI unemployment rate. The maximum weekly EI benefit rate is CAD 514 per week based on the maximum weekly insurable earnings of CAD 934 for 2014.

EI claimants from low-earning families with children are eligible for the EI Family Supplement, which increases the replacement rate of their earnings. In this context, low-earning is defined as net family income under CAD 25 921. Recipients can receive up to an 80% replacement rate depending on their net family income and the number and age(s) of the children (see table below). Claimants with family income below CAD 20 921 receive the full supplement available to them based on the number and age(s) of their children.

Although Family Supplement recipients can receive up to an 80% replacement rate overall, the maximum weekly EI benefit rate, including the Family Supplement, is subject to the maximum of CAD 514 for 2014.

Family Supplement - rate increase

(in CAD)

Family income range	Number of children			Top-up for each additional child	Age supplement for each child under 7
	1	2	3		
Below 20 921	31.30	58.70	86.10	27.45	4.15
20 921 - 21 250	31.25	58.60	86.00	27.40	4.10
21 251 - 21 500	28.50	53.60	78.80	25.60	3.85
21 501 - 21 750	26.45	49.90	73.45	24.25	3.65
21 751 - 22 000	24.45	46.25	68.20	22.85	3.45
22 001 - 22 250	22.55	42.70	63.15	21.50	3.25
22 251 - 22 500	20.70	39.30	58.15	20.15	3.05
22 501 - 22 750	18.90	35.95	53.30	18.75	2.80
22 751 - 23 000	17.15	32.70	48.60	17.40	2.60
23 001 - 23 250	15.45	29.55	44.00	16.00	2.40
23 251 - 23 500	13.80	26.50	39.55	14.65	2.20
23 501 - 23 750	12.25	23.55	35.25	13.30	2.00
23 751 - 24 000	10.70	20.70	31.05	11.90	1.80
24 001 - 24 250	9.25	17.95	26.95	10.55	1.60
24 251 - 24 500	7.85	15.30	23.05	9.15	1.40
24 501 - 24 750	6.55	12.75	19.20	7.80	1.20
24 751 - 25 000	5.25	10.25	15.55	6.45	1.00
25 001 - 25 250	4.00	7.90	12.00	5.05	0.75
25 251 - 25 500	2.85	5.65	8.55	3.70	0.55
25 501 - 25 750	1.75	3.45	5.25	2.30	0.35
25 751 - 25 921	0.70	1.40	2.10	0.95	0.15

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The legislation that outlines the reduction of benefits due to earnings while on claim has been the subject of several pilot projects since October of 2005. Under legislation, claimants receiving regular, parental, compassionate care or critically ill children benefits can earn (allowable earnings) up to % of their weekly benefits or CAD 50, whichever is higher without their EI benefits being reduced. Earnings above 25% or CAD 50 are deducted dollar for dollar from weekly benefits. If benefits are reduced to zero for a week, that week of entitlement is kept by the claimant for use in the benefit period. Those receiving maternity or sickness benefits have their benefits reduced dollar for dollar from the first dollar earned.

On August 5, 2012, a Working While on Claim (WWC) pilot project came into force that reduces EI benefits by 50 cents for every dollar earned, up to a threshold of 90% of the weekly insurable earnings used to calculate the EI benefit amount. Earnings above this threshold are deducted dollar for dollar from EI benefits. If benefits are reduced to zero for a week, that week of entitlement is kept by the claimant for use in the benefit period. In addition, EI recipients who had earnings between August 7, 2011 and August 4, 2012, and have not benefited from the current pilot project have the option of reverting to the rules that existed under previous WWC pilot projects (see below) for the duration of their. This pilot is scheduled to end August 1 2015.

2.3 *Tax treatment of benefit and interaction with other benefits*

Recipients of EI benefits pay income taxes on benefits received, but they are not subject to SS contributions. EI Beneficiaries whose net income exceeded CAD 60 750 in 2014 have to repay the lesser of 30% of the total regular or fishing benefits received in that taxation year or 30% of the income above that threshold. This provision does not apply to those who have not received EI regular or fishing benefits in the ten years prior to the taxation year in question. First time claimants, as well as special benefits claimants, are exempt from this repayment provision.

2.4 *Benefit duration and waiting periods*

EI regular benefits are payable for a maximum period of 45 weeks, starting after an unpaid two-week waiting period. The number of weeks of benefits to which a claimant is entitled is a function of the number of hours worked in the qualifying period and the local unemployment rate. Entitlement varies from 14 to 45 weeks.

As shown in the table below, in general, a one-percentage point increase in the regional monthly unemployment rate provides an additional entitlement of two weeks of benefits. An additional 70 hours of work adds one week of entitlement for a claimant with short employment duration (less than 1 400 hours) in the qualifying period and two weeks of entitlement to claimants with long employment duration (over 1 400 hours).

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Weeks of Entitlement to Regular Benefits

Insured Hours of Work	Regional Unemployment Rate (%)											
	6% and under	Over 6% to 7%	Over 7% to 8%	Over 8% to 9%	Over 9% to 10%	Over 10% to 11%	Over 11% to 12%	Over 12% to 13%	Over 13% to 14%	Over 14% to 15%	Over 15% to 16%	Over 16%
420-454	0	0	0	0	0	0	0	0	26	28	30	32
455-489	0	0	0	0	0	0	0	24	26	28	30	32
490-524	0	0	0	0	0	0	23	25	27	29	31	33
525-559	0	0	0	0	0	21	23	25	27	29	31	33
560-594	0	0	0	0	20	22	24	26	28	30	32	34
595-629	0	0	0	18	20	22	24	26	28	30	32	34
630-664	0	0	17	19	21	23	25	27	29	31	33	35
665-669	0	15	17	19	21	23	25	27	29	31	33	35
700-734	14	16	18	20	22	24	26	28	30	32	34	36
735-769	14	16	18	20	22	24	26	28	30	32	34	36
770-804	15	17	19	21	23	25	27	29	31	33	35	37
805-839	15	17	19	21	23	25	27	29	31	33	35	37
840-874	16	18	20	22	24	26	28	30	32	34	36	38
875-909	16	18	20	22	24	26	28	30	32	34	36	38
910-944	17	19	21	23	25	27	29	31	33	35	37	39
945-979	17	19	21	23	25	27	29	31	33	35	37	39
980-1014	18	20	22	24	26	28	30	32	34	36	38	40
1015-1049	18	20	22	24	26	28	30	32	34	36	38	40
1050-1084	19	21	23	25	27	29	31	33	35	37	39	41
1085-1119	19	21	23	25	27	29	31	33	35	37	39	41
1120-1154	20	22	24	26	28	30	32	34	36	38	40	42
1155-1189	20	22	24	26	28	30	32	34	36	38	40	42
1190-1224	21	23	25	27	29	31	33	35	37	39	41	43
1225-1259	21	23	25	27	29	31	33	35	37	39	41	43
1260-1294	22	24	26	28	30	32	34	36	38	40	42	44
1295-1329	22	24	26	28	30	32	34	36	38	40	42	44
1330-1364	23	25	27	29	31	33	35	37	39	41	43	45
1365-1399	23	25	27	29	31	33	35	37	39	41	43	45
1400-1434	24	26	28	30	32	34	36	38	40	42	44	45
1435-1469	25	27	29	31	33	35	37	39	41	43	45	45
1470-1504	26	28	30	32	34	36	38	40	42	44	45	45
1505-1539	27	29	31	33	35	37	39	41	43	45	45	45
1540-1574	28	30	32	34	36	38	40	42	44	45	45	45
1575-1609	29	31	33	35	37	39	41	43	45	45	45	45
1610-1644	30	32	34	36	38	40	42	44	45	45	45	45
1645-1679	31	33	35	37	39	41	43	45	45	45	45	45
1680-1714	32	34	36	38	40	42	44	45	45	45	45	45
1715-1749	33	35	37	39	41	43	45	45	45	45	45	45
1750-1784	34	36	38	40	42	44	45	45	45	45	45	45
1785-1819	35	37	39	41	43	45	45	45	45	45	45	45
1820 and over	36	38	40	42	44	45	45	45	45	45	45	45

Each EI special benefit is payable for a specified maximum duration. Maternity and sickness benefits are payable for up to 15 weeks each, parental and parents of critically ill children benefits can be paid for up to 35 weeks each, while compassionate care benefits can be paid for up to 6 weeks.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Under the EI program, self-employed fishing is separated into two distinct qualifying periods: summer and winter fishing. Fishers who are active in both seasons can establish two claims for EI fishing benefits in a single year. All fishers who qualify for the program are entitled to up to 26 weeks of benefits per benefits period.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

None

2.5.3 *Others if applicable, including disabled*

3. Unemployment assistance

Employment Insurance provides a number of Employment Benefits and Support Measures (EBSMs), under Part II of the EI Act, which help unemployed workers get back to work as quickly as possible. These include:

- Long-term employment benefits available only to unemployed EI clients such as Skills Development benefits, Self-employment Assistance, Targeted Wage Subsidies and Job Creation Partnerships.
- Short-term interventions such as Employment Assistance Services which includes counselling and group services that are available to all unemployed Canadians.

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.1.1 Irregular additional payments

3.2.1.2 Obligations of family members

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable, including disabled

4. Social assistance

Social assistance (or welfare) is administered by the provinces and territories, which set their own rules and payment rates. The Province of Ontario's system for providing social assistance is used in this report. The announcement of the new Ontario Child Benefit in the 2007 Ontario Budget led to a restructuring of social assistance rates in August 2008 (see Section 6).

The Canadian welfare system has undergone some fundamental changes over the last decade. In almost every province and territory, more stringent eligibility criteria and administrative controls have become the norm, and benefit reductions affecting part or all of the caseload have been common. There has also been a growing focus on employment and training activities for social assistance recipients in an effort to improve their skills and employment potential. Several provinces and territories offer ancillary supports, such as child care, community start-up, and transportation allowances, in combination with employment assistance, in order to facilitate social assistance recipients' participation in the labour market.

Further, with the introduction of the Federal/Provincial/Territorial National Child Benefit initiative in 1998, increased federal support for low-income families with children has enabled most provinces and territories to use these increased payments to replace part of their social assistance or child benefit payments to families with children, and reinvest the resulting savings in new or enhanced benefits and services for low-income families with children. In many cases, provinces and territories have invested additional funds beyond their social assistance and child benefit savings.

In an effort to further lessen the financial impact of the transition from social assistance to employment, several provinces and territories have extended coverage provided by drug cards and supplementary health benefits for a specified period of time after exiting social assistance. Some jurisdictions have also introduced earned income supplements. The purpose of these supplements is to increase the financial benefit associated with employment for persons with low wages. Similarly, recent reforms to asset and earnings exemption levels in some jurisdictions have allowed social assistance recipients to accumulate certain types of assets that have been linked to reduced intergenerational dependence on social assistance.

Program name in local language		Ontario Works
Minimum age condition for social assistance receipt		16
Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	Have to sign a Participation Agreement that sets out the employment assistance activities that you will do to find work and/or improve your skills.
	Active job search	None
	Work requirement	None
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	None
	Legal behavioural requirements for adult family members other than the benefit claimant	None
Determination of benefit levels		Regional
Upgrading mechanism of the benefit		...
Other supplements to basic benefit (per family)		Basic benefits includes shelter allowance and

		regularly-recurring special needs.
Means-test for social assistance	Earnings disregards	Yes. Flat rate exemption - \$200 per family member with employment earnings. (effective September 2013)
	Benefit withdrawal rate with regard to earned income	50% of all employment earnings remaining after mandatory deductions and the flat rate exemption have been deducted. (effective September 2013)
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment benefit including family supplements
Benefit provision (eligibility (E), generosity (G)) varies with	age	n.a.
	family situation	G: + below proportional with number of children, more generous for lone parents
	over time	n.a.
	other	n.a.

4.1 *Conditions for receipt*

Social assistance is a “needs-tested” benefit. If the assets of an applicant’s household are within allowable limits, non-exempted income is applied to the cost of basic needs. If there is a budgetary deficit, the household qualifies for social assistance. Where there is a budgetary surplus that is insufficient to cover the cost of a special need that is approved by welfare authorities, social assistance may be granted to cover the special need only. Each jurisdiction defines assets, income and needs in its social assistance legislation.

Eligible employable persons are actively encouraged to pursue, accept, and retain any reasonable offer of employment or retraining as an initial and continuing condition of eligibility for social assistance. Thus, many jurisdictions offer employment services and training opportunities in combination with financial assistance. Should a recipient choose not to pursue employment or retraining, he/she may be subject to penalties ranging from a specified reduction in benefits over a prescribed period of time to the full cancellation of benefits.

To ensure that those who successfully leave social assistance for employment are better off working, a number of provinces and territories have introduced earned income or working income supplements.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The total payment amount consists of a basic personal allowance, a shelter allowance to assist in the payment of (total actual) housing costs and, in some jurisdictions, allowances for regularly-recurring approved special needs (e.g., diabetic food allowance). Shelter allowances are set by provincial governments to reflect actual costs within their jurisdictions. However, in New Brunswick and Quebec, social assistance benefits are paid as a “global” benefit, and clients are responsible for apportioning the allowance to shelter and other needs as they see fit. In Ontario, there are two major social assistance programs: Ontario Works, which provides income and employment assistance for people who are in temporary financial need; and the Ontario Disability Support program, designed to meet the unique needs

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of people with disabilities who are in financial need, or who want and are able to work and need support. This section is based on the Ontario Works program.

Monthly Ontario Works rates, in CAD*

Effective November 2015
(basic allowance + maximum shelter allowance)

Family structure	Single	Couple
No children	681 (305+376)	1077 (468+609)
One child aged 0 - 17	951 (342+609)	1130 (468+662)
Two children aged 0 - 17	1004 (342+662)	1186 (468+718)

* Social Assistance was restructured beginning in August 2008 due to the phase-in (year 2) of the Ontario Child Benefit (OCB). OCB consolidated social assistance benefits for children and the OCCS into one benefit paid to all low-income families with children.

The maximum basic needs allowance rates are based on the presence of a spouse, the number of members in the household and the number of children in the household.

In Ontario, when childcare is used, a deduction can be made on the reference income for the calculation of Social Assistance. In 2016, this deduction is set at the actual cost of licensed childcare and a maximum of \$600 per month, per child if unlicensed child care is used.

4.2.1.1 Irregular additional payments

Generally, Special Needs Assistance provides items, services, or allowances related to age, disability, employment, education, training, and other special circumstances. It varies widely between jurisdictions but examples include transportation allowances, employment-related allowances, child-care subsidies, drug and medical services, as well as furniture replacement, minor home repair allowances, special diet allowances, school supply allowances, and funeral services. The provision of items of special need is on a case-by-case basis in accordance with the applicable policies and guidelines.

4.2.1.2 Obligations of family members

As a condition of continuing eligibility for assistance, beneficiaries must report immediately any change in the circumstances of their household that would affect their entitlement to assistance. In addition, some jurisdictions require that long-term social assistance clients be reviewed every year, and more frequently for short-term clients.

4.2.2 Earnings exemptions for benefit recipients and those starting a new job

Effective September 1, 2013, the earnings exemption allows for up to \$200 per month per family member of employment earnings before social assistance benefits are reduced. Employment earnings

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above \$200 reduce social assistance benefits at a rate of 50 percent. This earnings disregard does not take effect until a client household has been in receipt of social assistance for three full months.

4.3 Tax treatment of benefit and interaction with other benefits

Social assistance benefits are not taxable, but must be declared on a tax filer's income tax return. Benefits are counted as income in calculating entitlement to federal and provincial child tax benefits and sales tax credits (see sections 6 and 10).

4.4 Benefit duration and waiting periods

Benefits are paid as long as there is a need, i.e., as long as household assets are within allowable limits and non-exempt income is insufficient to cover basic needs or approved special needs, and provided that all other administrative requirements are met (e.g., job search for employable clients). There are no time limits on benefit duration in Ontario.

4.5 Treatment of particular group

4.5.1 Young persons

As a general rule, anyone who has not reached the age of majority may not receive social assistance in his or her own right except in cases of family breakdown, abuse or parenthood. Young persons receiving assistance in these circumstances are required, as a condition of ongoing eligibility, to participate fully in any academic or training program that could improve their employability.

4.5.2 Older workers

4.5.3 Others if applicable, including disabled

The Ontario Disability Support Program (ODSP) is designed to meet the unique needs of people with disabilities who are in financial need, or who want and are able to work and need support.

Monthly ODSP rates, in CAD*
Effective September 2016
(basic allowance + maximum shelter allowance)

Family structure	Single	Couple (1 spouse disabled)	Couple (Both spouses disabled)
No children	1128 (649+479)	1688 (935+753)	2048 (1295+753)

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One child aged 0 - 12	1545 (792+753)	1751 (935+816)	2111 (1295+816)
Two children aged 0 - 12	1608 (792+816)	1821 (935+886)	2188 (1295+886)

ODSP provides a disability related employment expense deduction up to a maximum of \$300 per month in addition to the earnings exemptions amounts provided under Ontario Works.

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5. **Housing benefits for rented accommodation**

See section 4.2.1

Regular housing benefits	Program name in local language		No general housing benefit
	Entitlement depends on	Household type/size	n.a.
		Income	n.a.
		Dwelling size	n.a.
		Geographic location	n.a.
		Actual rental cost	n.a.
	Description of regular housing benefit		No regular housing benefit exists but social assistance includes shelter allowance
	Uprating mechanism of the benefit		n.a.
Housing related support through other benefits			Shelter allowance part of social assistance

5.1 ***Conditions for receipt***

5.2 ***Calculation of benefit amount***

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

6. Family benefits*Federal level*

In July 2016, the Government of Canada replaced the Canada Child Tax Benefit (CCTB), National Child Benefit Supplement (NCBS) and the Universal Child Care Benefit (UCCB) with a new Canada Child Benefit (CCB).

The CCB will provide a maximum benefit of CAD 6 400 per child under the age of 6 and CAD 5 400 per child aged 6 through 17. On the portion of adjusted family net income between CAD 30 000 and CAD 65 000, the benefit will be phased out at a rate of 7 per cent for a one-child family, 13.5 per cent for a two-child family, 19 per cent for a three-child family and 23 per cent for larger families. Where adjusted family net income exceeds CAD 65 000, remaining benefits will be phased out at rates of 3.2 per cent for a one-child family, 5.7 per cent for a two-child family, 8 per cent for a three-child family and 9.5 per cent for larger families, on the portion of income above CAD 65 000.

To recognize the additional costs of caring for a child with a severe disability, the government proposes to continue to provide an additional amount of up to CAD 2 730 per child eligible for the disability tax credit. This additional amount will be phased out at a rate of 3.2 per cent for families with one eligible child and 5.7 per cent for families with more than one eligible child, on adjusted family net income in excess of CAD 65 000.

Entitlement to the CCB for the July 2016 to June 2017 benefit year will be based on adjusted family net income for the 2015 taxation year. The CCB will be paid monthly to eligible families. Amounts received under the new CCB will not be taxable and will not reduce benefits paid under the goods and services tax credit. They will also not be included in income for the purposes of federal income-tested programs delivered outside of the income tax system. To be eligible for the CCB, an individual must be a resident of Canada for tax purposes and must reside with the qualified dependant and be the parent who primarily fulfils the responsibility for the care and upbringing of the qualified dependant or be a shared-custody parent.

Total annual federal support delivered through the CCB is projected to reach CAD \$23 billion during the 2016–17 benefit year.

Program name (local name in parentheses if available)		Family benefit on the federal level (Canada Child Benefit (CCB))
Type of benefit		Targeted non-wastable tax credit
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	17
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
Up-rating mechanism of the benefit		...

Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	CAD 6 400 per year for each eligible child under the age of six CAD 5 400 per year for each eligible child aged 6 to 17.
		Number of children	+
	Earnings disregard		CAD 30 000 of adjusted family net income.
	Withdrawal rate		The CCB is reduced on adjusted family net income (AFNI). ■ For families with one eligible child, 7% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 3.2% of the amount of AFNI over CAD 65 000. ■ For families with two eligible children, 13.5% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 5.7% of the amount of AFNI over CAD 65 000. ■ For families with three eligible children, 19% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 8% of the amount of AFNI over CAD 65 000. ■ For families with four or more eligible children, 23% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 9.5% of the amount of AFNI over CAD 65 000.
	Assets part of means test?		No

Provincial/territorial level

The Canada Child Benefit application is used to determine eligibility for a number of related provincial and territorial child benefit and credit programs. Provincial/territorial investments are made in a number of areas, including: childcare, earnings supplements and child benefits, early childhood services, and supplementary health benefits.

In its 2007 Budget, the Government of Ontario announced the creation of the Ontario Child Benefit (OCB) for low-income families. In July 2007, the program delivered a non-taxable, one-time payment for 2007 of up to CAD 250 per dependent child under age 18. Monthly payments began to flow in July 2008- up to CAD 600 per year per child. The 2009 Ontario budget proposed to accelerate the phase-in of the OCB by two years. The payment increased to a maximum of CAD 1 100 a year per child in 2009. The benefit reduction threshold is the adjusted family net income of CAD 20 000 with an 8 percent reduction rate.

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Program name (local name in parentheses if available)		Family benefit on the regional level (Ontario Child Benefit (OCB))	
Type of benefit		Targeted benefit	
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	17	
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No	
Up-rating mechanism of the benefit		...	
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/-- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0
		Number of children	++
	Earnings disregard		CAD 20 706 of adjusted family net income
	Withdrawal rate		8%
	Assets part of means test?		...

Conditions for receipt

A person may qualify for the Ontario Child Benefit (OCB), if they:

- are the primary caregiver of a child under 18;
- are a resident of Ontario;
- have filed and had assessed a previous year's income tax return, and so have their spouse or common-law partner; and
- registered their child for the federal Canada Child Benefit.

The Canada Revenue Agency will automatically review eligibility the applicant's spouse/common law partner's income tax returns from the previous year are assessed and they have registered their child for the Canada Child Benefit.

If eligible, the Ontario Child Benefit is included with Canada Child Benefit monthly payments.

Calculation of benefit amount

From July, 2015, to June, 2016, the OCB program provided a maximum annual benefit of CAD 1 336 for each child under age 18. Beginning July 2016 the maximum payment increased to CAD 1 356 per year for each child under age 18.

Ontario Child Benefit (OCB)

	2016 (annual basis)
Maximum per child <18	CAD 1 356
Level of adjusted family net income ² for tax purposes where benefit starts to be reduced	CAD 20 706
Reduction rate	8%

Calculation of gross benefit

See table above.

Income and earnings disregards

See table above.

First Nations

The federal government works in partnership with First Nations to achieve the shared goal of improving the quality of life for Aboriginal peoples. First Nations' investments provide First Nations with the opportunity to develop projects that will address child poverty and ensure Aboriginal children receive the best possible opportunities to develop their potential as healthy, active and contributing members of their communities. First Nations' investments tend to cover a wider range of program areas than those of the provinces and territories, allowing communities to decide which priority they would like to see addressed during the course of a given year. First Nations investments are categorized in five key areas: child/day care; child nutrition; early child development; employment opportunities/training programs; and community enrichment.

6.1 Conditions for receipt

All low- and middle-income families with children under the age of 18 are eligible for the CCB benefit.

6.2 Calculation of benefit amount

See Section 6.2.1 for details on specific program parameters that determine eligibility and level of benefits.

² For the purposes of determining how much will be received for the Ontario Child Benefit, adjusted family net income is defined as:

The net income amount on line 236 of the Canada Revenue Agency personal income tax form for both the applicant and spouse/common-law partner if applicable minus any federal Universal Child Care Benefit payments.

6.2.1 *Calculation of gross benefit*

Federal level

The combined adjusted net income reported by both spouses (that is, adjusted family net income) is used to calculate benefit entitlements. Any benefit entitlements calculated using 2015 incomes are actually paid over the period July 2016 to June 2017.

The Canada Child Benefit (CCB) is calculated as follows:

A maximum benefit of CAD 6 400 per year (CAD 533.33 per month) for each eligible child under the age of six and CAD 5 400 per year (CAD 450.00 per month) for each eligible child aged 6 to 17.

The maximum benefit amount is reduced when the adjusted family net income (AFNI) is over CAD 30 000 at the following rates:

- For families with one eligible child, the reduction is 7% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 3.2% of the amount of AFNI over CAD 65 000.
- For families with two eligible children, the reduction is 13.5% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 5.7% of the amount of AFNI over CAD 65 000.
- For families with three eligible children, the reduction is 19% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 8% of the amount of AFNI over CAD 65 000.
- For families with four or more eligible children, the reduction is 23% of the amount of AFNI between CAD 30 000 and CAD 65 000, plus 9.5% of the amount of AFNI over CAD 65 000.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 ***Tax treatment of benefit and interaction with other benefits***

Canada Child Benefit payments are not taxable. (For program interactions, see above.)

6.4 ***Treatment of particular groups***

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

On January 1, 2013, the Federal Income Support for Parents of Murdered or Missing Children (PMMC) grant became operational. This new initiative provides a taxable payment of \$350 per week to parents of children under the age of 18 who are missing or are deceased as a result of a probable Criminal Code offence, for a period of up to 35 weeks.

Child Disability Benefit

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The child disability benefit (CDB) is a monthly benefit included in the CCB to provide financial assistance to qualified families caring for children who have a severe and prolonged impairment in physical or mental functions. Families with children under 18 years of age who qualify for the disability tax credit (DTC) are eligible to receive a CDB.

For the 2016-2017 payment year, the CDB provides up to CAD 2 730 per year (227.50 per month) for each child eligible for the DTC. The CDB is reduced when adjusted family net income (AFNI) is more than CAD 65 000. The reduction is calculated as follows:

- For families with one child eligible for the DTC, the reduction is 3.2% of the amount of AFNI over CAD 65 000.
- For families with two or more children eligible for the DTC, the reduction is 5.7% of the amount of AFNI over CAD 65 000.

7. Childcare

In 2011, almost half (46%) of parents reported using some type of child care for their children aged 14 years and younger.³ Use of child care tends to be lowest among parents with children under 1 year and highest among parents of children between ages 2 and 4.⁴

Percent of Parents Using Child Care⁵

Age of Child	Percent of Parents Using Child Care
Under 1 year	6.8*
1 year	34
2 years	58.6
3 years	61.8
4 years	64
5 years	52.4

*Use with caution, Source: Statistics Canada, General Social Survey 2011

The type of child care arrangements among Canadian parents tends to vary across Canada. Quebec typically relies on home daycare (50%).⁶ Meanwhile, Ontario typically relies on daycare centres (36%), while the Atlantic provinces (44%), Prairie provinces (43%) and British Columbia (40%) rely on private care.⁷ While compulsory schooling begins at age six, the majority of five year old children attend kindergarten as part of the formal education system.

Type of child care arrangement among parents using child care, by region⁸

Region	Home daycare	Daycare centre	Private care
Atlantic Provinces	16*	36	44
Quebec	50	38	10*
Ontario	19	36	32
Prairie Provinces	31	23	43
British Columbia	25*	20*	40
Canada	31	33	28

*Use with caution, Source: Statistics Canada, General Social Survey 2011

**Responses of preschool and other child care arrangements are included in calculation of percentages, but are not shown in the table. Therefore, totals will not add to 100%.

³ Source: Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division, Statistics Canada, Release Date October 30, 2014 at pg. 5

⁴ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 5

⁵ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 5

⁶ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 6

⁷ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 7

⁸ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 7

7.1 Child Care Costs

Parent fees for regulated care vary within and across provinces and depend on the age of the child in care, the type of care arrangement (centre-based, family care, preschool) and the hours of care (full/part time). For children age 4 and under, the median cost of full-time child care differed by province ranging from \$152 a month in Quebec to \$677 per child in Ontario.⁹

7.2 Child care benefits

Federal Level

In July 2016, the federal government introduced the Canada Child Benefit (CCB). The CCB replaced the Canada Child Tax Benefit (CCTB), the National Child Benefit Supplement, and the Universal Child Care Benefit with one tax-free and targeted benefit.

The CCB provides a maximum annual benefit of up to \$6,400 per child under the age of 6 and up to \$5,400 per child aged 6 through 17. Families with less than \$30,000 in net income receive the maximum benefit. This year, as a result of the introduction of the CCB, about 300,000 children fewer will be living in poverty. This represents a reduction of about 40 percent in child poverty in Canada.

The federal personal income tax system provides a child care expenses deduction for families with children. The child care expenses deduction is calculated on the basis of earned income. Child care expenses claimed as a deduction cannot exceed two thirds (2/3) of the earnings of the spouse with the lower earned income (see section 10.1.1 for more information). The deduction reduces taxes paid to both levels of government (federal and provincial/territorial).

Childcare benefits are not dependent on the recipient using formal childcare facilities (for example state run childcare).

Provincial Level

Most provinces and territories offer some type of child care benefits. For example, the province of British Columbia provides a non-taxable amount paid monthly to qualifying families to help with the cost of raising children under the age of six, the province of Alberta provides a non-taxable amount paid to families with working income that have children under 18 years of age, the province of Ontario offers the Ontario Child Benefit (OCB) as a non-taxable amount paid to help low- to moderate-income families, and the province of Quebec offers child assistance payments to provide financial assistance to families with children under the age of 18.

⁹ Maire Sinha, Child Care in Canada, Social and Aboriginal Statistics Division at pg. 9. These costs are based on the amount of money spent by parents, but do not consider income tax credits or other financial supports that can reduce out of pocket expenses.

8. Employment-conditional benefits

In 2007 the Government of Canada introduced an earned-income supplement, the Working Income Tax Benefit (WITB), to help make work pay for low- and modest-income Canadians. A number of provinces and territories also implemented programs which provide earned-income supplements. In addition, all Canadian provinces offer special work-related supports to social assistance clients who are joining or rejoining the labour force. These range from coverage for special work-related expenses such as clothing, transportation and, in some jurisdictions, day care, to an actual bonus for participation in work activities. In Ontario, for example, an Other Employment and Employment Assistance Activities Benefit of up to CAD 253 once in every 12-month period for actual reasonable expenses is available for a social assistance beneficiary (and a spouse or same-sex partner) who begins employment or a training program, changes employment or begins an employment assistance activity.

Program name (local name in parentheses if available)		Working Income Tax Benefit (WITB)
Type of employment-conditional benefit		Targeted non-wastable tax credit
Beneficiaries of employment-conditional benefit		Low-income individuals and families
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	CAD 3000 per year
Up-rating mechanism of the benefit		...
Benefit calculation(1)	Income assessment unit(3)	Family
	(Maximum) benefit amount	CAD 1028 for singles, CAD 1868 for families
	Phase-in rate	25%
	Phase-out rate	15%

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The Working Income Tax Benefit (WITB) is a refundable tax credit, which provides up to CAD 1028 for single individuals and CAD 1 868 for couples and families with children in 2016. The benefit is phased in at a rate of 25% on working income greater than CAD 3 000.

For single individuals without children, the maximum benefit is paid if working income is between CAD 7 112 and CAD 11 675 in 2016. For single individuals, the WITB is reduced at 15% on net income greater than CAD 11 675. No WITB is paid when net income exceeds CAD 18 528.

For families, the maximum benefit is paid if working income is between CAD 10 472 and CAD 16 122 in 2016. For families, the WITB is reduced at 15% on net income greater than CAD 16 122. No WITB is paid when family net income exceeds CAD 28 575.

8.3 *Tax treatment of benefit and interaction with other benefits*

Working Income Tax Benefit payments are not taxable.

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

The WITB includes a supplement of up to CAD 514 for persons with disabilities in 2016. For single individuals, the WITB disability supplement is reduced at 15% on net income greater than CAD 18,531. For families, the WITB disability supplement is reduced at 15% on net income greater than CAD 28,575.

9. Lone-parent benefits

The personal income tax system provides an eligible dependant amount for single, divorced, separated, or widowed taxfilers who support a dependant. Lone parents, therefore, can reduce their tax liabilities when claiming this amount for a dependent child (see section 10).

The refundable Goods and Services Tax (GST) Credit (see section 10 for details) also contains specific provisions for lone parents. In addition to an adult credit of up to CAD 276 that lone parents can claim for themselves, they can also claim this amount for the dependent child claimed as an eligible dependant. There is also a GST credit supplement of up to CAD 145 for low-income single parents (as well as single individuals).

The Canadian federal and provincial/territorial governments do not provide support to lone parents in cases where the absent parents do not pay any child support/alimonies.

In Canada, jurisdictions have flexibility regarding their treatment of support payments for social assistance benefits. Consequently, there are slight variations across jurisdictions, and for the purpose of this exercise, Ontario is used as a provincial/territorial example for social assistance.

According to Ontario legislation, income child support and alimony payments from the absent parent are fully taken into account in the calculation of the lone parent's entitlement to social assistance. In other words, social assistance benefits are reduced dollar-for-dollar with the receipt of child support/alimony payments. This has not changed since 2001.

In addition, it should be noted that Child support payments may or may not be deductible from federal income tax. As of May 1, 1997, the federal government changed the income tax rules which apply to child support agreements. Hence, there are two general rules:

- i) Child support paid under a child support agreement dated before May 1, 1997 is tax deductible, so the parent who pays child support will be able to continue to deduct those payments for income tax purposes, and the parent who receives the child support will continue to pay income tax on child support payments.
- ii) Child support paid under a child support agreement dated on or after May 1, 1997 is not deductible nor is it considered as income for tax purposes if you receive it.

While this change to the federal tax treatment of child support payments did not have any impact related to means-tested benefits such as social assistance, it did have a direct effect on the amount of federal income-tested benefits received, such as CCB and GST credit.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable, including disabled*

10. Tax system

The federal personal income tax system considers personal income in two ways: it taxes personal income on an individual basis (i.e. individuals pay income tax on their own income); whereas it pays benefits to people based on family income (i.e. family benefits are calculated based on the income of both spouses).

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

- *Basic personal amount:* All taxpayers qualify for a basic personal tax credit of CAD 1 721.10 in 2016.
- *Credit for Spouse or Eligible Dependant:* A taxpayer supporting a spouse or other eligible dependant receives a tax credit of CAD 1 721.10 which is reduced by 15 cents for each dollar of the dependant's income.
- The Goods and Services Tax Credit provides a relief of CAD 280 for each adult 19 years of age or older and CAD 147 for each dependent child under the age of 19. Single tax filers without children and with an employment income higher than CAD 9 079 receive an additional CAD 147 that is phased in at a rate of 2%. Single tax filers with children receive an additional CAD 147 that is not subject to phase-in. The credit received for the first dependent child of a single parent is also increased from CAD 147 to CAD 280. The total amount is reduced at a rate of five percent of net family income over CAD 36 455. The amount is paid directly to families.¹⁰
- *Social security contributions:* Taxpayers are entitled to claim 15% of their contributions to the Canada or Quebec Pension Plans (to a maximum credit of CAD 2 544.30 for the Canada Pension Plan and to a maximum credit of CAD 2 737.05 for the Quebec Pension Plan) and their Employment Insurance premiums (to a maximum credit of CAD 955.04 outside Quebec; the Employment Insurance premium rate is lower for Quebec residents, who also pay into the Quebec Parental Insurance Plan; the maximum combined credit for a Quebec resident is CAD 1 163.98).
- *Working Income Tax Benefit (WITB)* The WITB provides a non-wastable tax credit equal to 25% of each dollar of earned income in excess of CAD 3 000 to a maximum credit of CAD 1 028 for single individuals without dependents and CAD 1 868 for families (couples and single parents). The credit is reduced by 15% of net family income in excess of CAD 11 675 for single individuals and CAD 16 122 for families. This is the default national design; provinces may choose to propose jurisdiction-specific changes to this design, subject to certain principles.
- *Canada Employment Tax Credit:* A tax credit of up to CAD 174.15 on employment income.
- *Child care expenses:* A portion of child care expenses is deductible if incurred for the purpose of earning business or employment income, studying or taking an occupational training course or carrying on research for which a grant is received. The lower-income spouse must generally claim the deduction. The amount of the deduction is limited to the least of:

¹⁰ The payments that relate to the 2015 tax year are payable between July 2016 and June 2017.

1. the expenses incurred for the care of a child;
2. two-thirds of the taxpayer's earned income; and
3. CAD 8 000 for each child who is under age seven, and CAD 5 000 per child between seven and sixteen years of age. The amount for a disabled child under seventeen is CAD 11 000.

10.1.2 Income tax schedule (central government income tax)

2015 Federal Income Tax Rates

Taxable Income (CAD)	Rate (%)
0 – 45 282	15
45 282 – 90 563	20.5
90 563 – 140 388	26
140 388 - 200 000	29
200 000 and over	33

10.1.3 State and local income taxes

All provinces and territories levy their own personal income taxes. All, with the exception of Quebec, have a tax collection agreement with the federal government, and thus use the federal definition of taxable income. They are free to determine their own tax brackets, rates and credits. Quebec collects its own personal income tax and is free to determine all of the tax parameters, including taxable income. In practice, its definition of taxable income is similar to the federal definition.

Tax regime selected for this study

The calculation of provincial tax for the average worker study assumes the worker lives in Ontario, the most populous of the 10 provinces and 3 territories. The main features of the Ontario tax system relevant to this report are summarised below:

Tax Schedule

Income Bracket	Rate (%)
CAD 0 to CAD 41 536	5.05
CAD 41 536 to CAD 83 075	9.15
CAD 83 075 to CAD 150 000	11.16
CAD 150 000 to CAD 220 000	12.16
Over CAD 220 000	13.16

Surtax

Provincial tax after accounting for wastable credits	Surtax Rate
Amounts Exceeding CAD 4 484	20% of the excess amount
Amounts Exceeding CAD 5 739	36% of the excess amount

Wastable tax credits

- A basic tax credit of CAD 505.56

- A maximum credit of CAD 429.25 for a dependant spouse or eligible dependant that is withdrawn as the income of the spouse or eligible dependant exceeds CAD 850 and is completely withdrawn when the income of the spouse is at least CAD 9 350.
- 5.05% of contributions made to the Canada Pension Plan and of Employment Insurance premiums.

Non-wastable tax credits

Ontario has a Sales Tax Credit that provides a relief of up to CAD 291 for each adult and each child. It is reduced by 4% of adjusted family net income over CAD 22 388 for single people and over CAD 27 985 for families. The amount is paid directly to families.

Tax Reduction

An earner is entitled to claim a tax reduction where the initial entitlement is equal to CAD 231 plus CAD 427 for each dependent child under the age of 19. Where someone has a spouse, only the spouse with the higher net income can claim the dependent child tax reduction. If this amount is greater or equal to the liable provincial tax, then no tax is due. If the amount is less than the liable tax, then the actual tax reduction is equal to twice the initial entitlement amount less the liable tax (if this calculation is zero or negative, the reduction is equal to zero).

10.2 Treatment of family income

Under the present system, tax is levied on individuals separately; certain tax reliefs depend on family circumstances.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Pensions

Generally, all employees are eligible for coverage under the Canada Pension Plan (Québec Pension Plan in the province of Québec). For 2016, all employees are required to contribute to the Canada Pension Plan at a rate of 4.95% of income up to a maximum contribution of CAD 2 544.30 (the contribution rate is 5.325% of income for the Québec Pension Plan up to a maximum contribution of CAD 2 737.05). Income subject to contributions is earnings (wages and salaries) less a CAD 3 500 basic exemption. The maximum contribution of CAD 2 544.30 is reached at an earnings level of CAD 54 900 i.e. $(\text{CAD } 54\,900 - \text{CAD } 3\,500) \times 0.0495 = \text{CAD } 2\,544.30$. For employees, each contribution to the CPP or QPP gives rise to a tax credit equal to 15% of the contributed amount. Employers are also required to contribute to the Canada Pension Plan on behalf of their employees at the same rate and can deduct their contributions from taxable income (refer § 2.21).

Self-employed persons must also contribute to the Canada Pension Plan (Québec Pension Plan in the province of Québec) on their own behalf. However, the self-employed are required to contribute at the combined employer/employee rate of 9.90% of earnings up to a maximum of CAD 5 088.60 (10.65% of earnings up to a maximum of CAD 5 474.10 in Quebec). The self-employed can deduct the employer portion of their contribution from income, equal to 50% of the total contribution or CAD 2 544.30 (2 544.30 in Quebec). The remaining 50%, representing the employee portion, is then claimed as a tax credit at 15%.

Sickness

There is no national sickness benefit plan administered by the federal government. However, all provinces have provincially-administered health care insurance plans. Three provinces, Quebec, Ontario, and British Columbia, levy health insurance premiums on individuals separately from the personal income tax to help finance their health programmes.

In the case of Ontario, the premium is determined based on taxable income. Individuals who earn up to CAD 20 000 are exempt. The premium is phased in with a number of different rates to a maximum of CAD 900 for taxable income levels greater than CAD 200 600. The following table provides further details on the structure that is applicable in 2016.

The Ontario Health Premium		
Taxable Income	Fixed Component (CAD)	Variable Component
0 to CAD 20 000	0	
CAD 20 000 to CAD 25 000	0	6% of the taxable income in excess of CAD 20 000
CAD 25 000 to CAD 36 000	300	
CAD 36 000 to CAD 38 500	300	6% of the taxable income in excess of CAD 36 000
CAD 38 500 to CAD 48 000	450	
CAD 48 000 to CAD 48 600	450	25% of the taxable income in excess of CAD 48 000
CAD 48 600 to CAD 72 000	600	
CAD 72 000 to CAD 72 600	600	25% of the amount of taxable income in excess of CAD 72 600
CAD 72 600 to CAD 200 000	750	
CAD 200 000 to CAD 200 600	750	25% of the amount of taxable income in excess of CAD 200 000
Over CAD 200 600	900	

Unemployment

In general, all employees are eligible for Employment Insurance. Eligibility to receive benefits is determined by insurable hours worked (with a minimum entry threshold of 420 to 700 hours, depending on region and the unemployment rate at the time the claim for benefits starts). For 2016, employees outside Quebec are required to contribute at the rate of 1.88% of insurable earnings. Insurable earnings are earnings (wages and salaries) up to a maximum of CAD 50 800 per year. The maximum employee contribution is therefore CAD 955.04 per year. Employment insurance contributions give rise to a tax credit equal to 15% of the amount contributed. Employers are also required to contribute to the plan. (See Section 2.23)

Quebec residents contribute to Employment Insurance at a rate of 1.52%; the same earnings ceiling applies. They also contribute to the Quebec Parental Insurance Plan at a rate of 0.548% of insurable earnings; maximum insurance earnings for 2016 are CAD 71 500. For a Quebec resident, the maximum employee contribution (Employment Insurance plus Quebec Parental Insurance Plan) is CAD 1 163.98.

10.3.2 Contributions payable by employers

Pensions

Employers are required to contribute to the Canada Pension Plan on behalf of their employees an amount equal to their employees' contributions. Thus, employers also contribute at the rate of 4.95% of earnings (less the CAD 3 500 earnings exemption) to a maximum of CAD 2 544.30. For the Quebec Pension Plan, the contribution rate is 5.325% of earnings, to a maximum of CAD 2 737.05.

Sickness

There is no national sickness benefit plan administered by the federal government. However, all provinces have provincially-administered health care insurance plans. Three provinces levy a special tax on employer payrolls to finance health services (Québec and Ontario) or health services and education (Manitoba). These payroll taxes are deductible from the employer's income subject to tax. In the case of the province of Ontario, employers pay a Employer Health Tax on the value of their payroll, tax rates varying from 0.98% on Ontario payroll less than CAD 200 000, up to 1.95% for payroll that exceeds CAD 400 000. Certain employers are eligible for a higher exemption of CAD 450 000. **Unemployment**

Employers are required to contribute to the employment insurance scheme. The general employer contribution is 1.4 times the employee contribution, that is, 2.63% of insurable earnings (outside Quebec). Premiums are adjusted for employers who provide sick pay superior to payments provided under the employment insurance regime. All employment insurance contributions are deductible from the employer's income subject to tax.

Work injury

There is no national work injury benefit plan administered by the federal government. However, employers are required to contribute to a provincial workers' compensation plan which pays benefits to workers (or their families in case of death) for work-related illness or injury. The employer contribution rates, which vary by industry and province, are related to industry experience of work-related illness and injury. Premiums are deductible from the employer's income subject to tax. In the case of Ontario, employers broadly corresponding to industry Sectors B-N inclusive pay, on average, 2.95% of the wages paid to each employee to a maximum of CAD 88 000.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

No special provisions.

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

12.1 Policy changes introduced between July 2nd 2015 and 1st July 2016

Universal Child Care Benefit

The Universal Child Care Benefit was eliminated with the introduction of the Canada Child Benefit.

Family Tax Cut

The Family Tax Cut was eliminated with the introduction of the Canada Child Benefit.

Canada Child Benefit

The Government of Canada replaced the CCTB/NCBS and UCCB with a new Canada Child Benefit. Canada Child Benefit payments under this measure began in July 2016. The UCCB and CCTB/NCBS were eliminated for months after June 2016.

Ontario Child Benefit

Starting in July 2015, the province of Ontario tied future increases of the Ontario Child Benefit to inflation in Ontario. As a result, the OCB was increased to a maximum of \$1,356 per child, per year on July 1, 2016.

Ontario Social Assistance

In its 2016 budget, the province of Ontario announced it would build on its previous investments in social assistance by increasing social assistance rates by 1.5 per cent for adults receiving Ontario Works and people with disabilities relying on the Ontario Disability Support Program (ODSP) and providing a further top-up to those with the lowest social assistance rates — singles without children receiving Ontario Works. These rate increases took effect in September 2016 for ODSP and in October 2016 for Ontario Works.

Ontario Registered Pension Plan

The government of Ontario had begun implementing the Ontario Retirement Pension Plan (ORPP) with employer and employee contribution collection set to begin in 2018. In June, 2016 the government of Ontario, along with other provinces and the federal government, reached an agreement in principle to enhance the Canada Pension Plan. As a result, Ontario is no longer proceeding with the ORPP.

12.2 Future policy changes announced since July 1st 2016

Ontario Basic Income Pilot

The government of Ontario is moving forward with the Ontario Basic Income Pilot (OBIP). The three-year OBIP, will begin in late spring 2017 and will study whether a basic income can better support vulnerable workers and give people the security and opportunity they need to achieve their potential. It will also study whether giving people a basic income can be a simpler and more economically effective way to provide income security support to people living on low incomes.

Following a tax credit model, the Ontario Basic Income Pilot will ensure that participants receive:

- Up to \$16,989 per year for a single person, less 50 per cent of any earned income
- Up to \$24,027 per year for a couple, less 50 per cent of any earned income
- Up to an additional \$6,000 per year for a person with a disability.

Participants currently receiving child benefits, such as the Canada Child Benefit (CCB) and the Ontario Child Benefit (OCB), will continue to be eligible to receive them during the pilot. Participants on Employment Insurance (EI) or on the Canada Pension Plan (CPP) will have their monthly basic income payment reduced dollar for dollar. People receiving support through Ontario Works who enter the pilot will continue to receive the Ontario Drug Benefit, and people on the Ontario Disability Support Program will continue to receive the Ontario Drug Benefit and dental benefits.

Ontario will invest \$50 million per year in the OBIP for each of the three years of the pilot.

Ontario Social Assistance

In its 2017 budget, the province of Ontario announced changes to Ontario Works and the Ontario Disability Support Program (ODSP) to raise asset limits, increase income exemptions for cash gifts and increase rates.

Limits on cash and other liquid assets will be increased for single individuals receiving Ontario Works from \$2,500 to \$10,000, and from \$5,000 to \$15,000 for couples. For ODSP recipients, the cash and other liquid asset limits will be increased from \$5,000 to \$40,000 for single individuals, and from \$7,500 to \$50,000 for couples. Increases to asset limits will take effect by January 2018.

The income exemption for cash gifts will be increased from \$6,000 up to \$10,000 per year in both ODSP and Ontario Works. In addition, gifts in any amount will not reduce the amount of social assistance people receive if the funds are used to pay for first and last month's rent, purchase a principal residence, or buy a vehicle that they may need. These changes will take effect in September 2017.

The government is also increasing Ontario Works and ODSP benefit rates for everyone by two per cent. This change will include increases to other social assistance benefits and allowances. These rate increases will take effect in September 2017 for ODSP, and in October 2017 for Ontario Works.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.